

Date of Hearing: July 6, 2021

ASSEMBLY COMMITTEE ON JUDICIARY
Mark Stone, Chair
SB 531 (Wieckowski) – As Amended June 29, 2021

As Proposed to be Amended

SENATE VOTE: 29-9

SUBJECT: CONSUMER DEBT

KEY ISSUE: SHOULD CERTAIN CIVIL CODE PROVISIONS THAT REGULATE THE COLLECTION PRACTICES OF DEBT BUYERS BE ADAPTED TO APPLY TO DEBT COLLECTORS?

SYNOPSIS

This measure would adapt certain provisions of the Fair Debt Buying Practices Act and incorporate them in the Rosenthal Fair Debt Collection Practices Act. Specifically, under the bill, debt collectors that are assigned debts for collection which are at least 90 days overdue and have not yet been “charged off” as a loss would have to:

- *Provide, upon the debtor’s written request, basic information about the debt, such as an accounting of the balance sought and the date on which the last payment was made, as well as documentation of the debtor’s underlying contract.*
- *Notify debtors of their right to request this information.*
- *Cease collection activity if the debt collector cannot provide the requested information within 30 days of the debtor’s request.*

The purpose of the bill is two-fold. First, it would help prevent entities from claiming that they are not legally required to provide debtors with basic information about debts they are seeking to collect. Second, it would enable a person from whom a debt is wrongfully collected to easily obtain evidence to show that they are not legally responsible for the debt and/or that the amount sought is incorrect—without having to go to court. The bill is supported by four nonprofits: California Low-Income Consumer Coalition, Center for Responsible Lending, Public Law Center, and Western Center on Law & Poverty. It is opposed by the Southern California Rental Housing Association.

SUMMARY: Amends the Rosenthal Fair Debt Collection Practices Act to incorporate provisions similar to those enacted under the Fair Debt Buying Practices Act. Specifically, **this bill:**

- 1) Defines, under the Rosenthal Fair Debt Collection Practices Act (Rosenthal Act), the term “delinquent debt” to mean a consumer debt, other than a mortgage debt, that has not been charged off and is past due at least 90 days.

- 2) Requires a debt collector to which delinquent debt has been assigned to include, in its first written communication with the debtor, a separate prominent notice in no smaller than 12-point type that includes the following statement:

“You may request records showing the following: (1) that [insert name of debt collector] has the right to seek collection of the debt; (2) the debt balance, including an explanation of any interest charges and additional fees; (3) the date the debt became delinquent or the date of the last payment; (4) the name of the creditor and the account number associated with the debt; (5) the name and last known address of the debtor as it appeared in the creditor’s records prior to assignment of the debt; and (6) the names of all persons or entities other than the debt collector to which the debt has been assigned, if applicable. You may also request from us a copy of the contract or other document evidencing your agreement to the debt.

A request for these records may be addressed to: [insert debt collector’s active mailing address and email address, if applicable].”

- 3) Specifies that if the debt collector principally uses a language other than English in its first oral contact with the debtor, then it must provide the notice in 2) in that language within five business days.
- 4) Requires a debt collector to which delinquent debt has been assigned to provide to the debtor, upon the debtor’s written request, a statement that includes the following information:
- a) That the debt collector has authority to assert the rights of the creditor to collect the debt.
 - b) The debt balance and an explanation of the amount, nature, and reason for all interest and fees, if any, imposed by the creditor or any subsequent entities to which the debt was assigned. The debt balance, the total interest, and the total fees must be identified separately.
 - c) The date the debt became delinquent or the date of the last payment.
 - d) The creditor’s name, address, and the account number associated with the debt. The creditor’s name and address must be in sufficient form so as to reasonably identify the creditor.
 - e) The name and last known address of the debtor as they appeared in the creditor’s records before the assignment of the debt to the debt collector.
 - f) The names and addresses of all persons or entities other than the debt collector to which the debt was assigned. Each assignee’s name and address must be in sufficient form so as to identify the assignee.
 - g) The California license number of the debt collector.
- 5) Forbids a debt collector to which delinquent debt has been assigned from making a written statement to a debtor in an attempt to collect a delinquent consumer debt unless the debt collector has access to the following:
- a) A copy of a contract or other document evidencing the debtor’s agreement to the debt.

- b) As an alternative to a), if the claim is based on debt for which no signed contract or agreement exists, a copy of a document provided to the debtor while the account was active which demonstrates that the debt was incurred by the debtor.
 - c) For a revolving credit account, the most recent monthly statement recording a purchase transaction, last payment, or balance transfer.
- 6) Requires a debt collector to which delinquent debt has been assigned to provide the information and documents listed in 4) and 5) to the debtor within 30 calendar days of receiving the debtor's written request for information regarding the debt or proof of debt.
 - 7) Mandates a debt collector that cannot provide the information and documents listed in 4) and 5) to cease all collection of the debt until such time as the collector can provide it.
 - 8) Deems a "debt buyer," as that term is defined under the Fair Debt Buying Practices Act, that complies with similar provisions of that Act to be in compliance with the requirements of this bill.
 - 9) Makes this bill applicable to all delinquent debt sold or assigned on or after January 1, 2022.

EXISTING LAW:

- 1) Regulates the practice of debt collection and the conduct of debt collectors under the Rosenthal Act. (Title 1.6C of Part 4 of Division 3 of the Civil Code, commencing with Section 1788. All further references are to the Civil Code, unless otherwise indicated.)
- 2) Finds and declares that "it is the purpose of [the Rosenthal Act] to prohibit debt collectors from engaging in unfair or deceptive acts or practices in the collection of consumer debts and to require debtors to act fairly in entering into and honoring such debts, as specified in [the Act.]" (Section 17881.1 (b).)
- 3) Defines the following terms under the Rosenthal Act:
 - a) "Consumer debt" means money or property owed by a natural person due to that person's acquisition, on credit, of property, services, or money used primarily for personal, family, or household purposes. The term includes mortgage debt. (Section 1788.2 (e), (f).)
 - b) "Debt collection" means any act or practice in connection with the collection of consumer debts. (Section 1788.2 (b).)
 - c) "Debt collector" means any person who regularly, in the ordinary course of business, engages in debt collection on behalf of themselves or others. (Section 1788.2 (c).)
 - d) "Debtor" means a natural person from whom a debt collector seeks to collect a consumer debt that is, or is alleged to be, due and owing from that person.
- 4) Regulates the practice of buying charged-off consumer debt and the conduct of debt buyers under the Fair Debt Buying Practices Act (FDBPA). (Title 1.6C.5 of Part 4 of Division 3 of the Civil Code, commencing with Section 1788.50.)
- 5) Defines the following terms under the FDBPA:

- a) “Charged-off consumer debt” means a consumer debt that has been removed from a creditor’s books as an asset and treated as a loss or expense. (Section 1788.50 (a)(1).)
 - b) “Debt buyer” means a person or entity regularly engaged in the business of purchasing charged-off consumer debt for collection purposes, whether it collects the debt itself, hires a third party for collection, or hires an attorney to conduct collection litigation. (Section 1788.50 (a)(2).)
- 6) Requires a debt buyer to possess certain information and documents before making any written statement to a debtor; to provide this information and documents to a debtor upon request; to cease collection activity if it cannot provide the information and documents to the debtor; and to notify the debtor of its rights to request the information and documents. (Section 1788.52.)

FISCAL EFFECT: As currently in print this bill is keyed fiscal.

COMMENTS: In 1977, the Legislature enacted the Rosenthal Fair Debt Collection Practices Act (Rosenthal Act), which regulates the conduct and practices of debt collectors, defined as “any person who regularly, in the ordinary course of business, engages in debt collection on behalf of themselves or others.” (Civil Code Section 1788.2 (c).)

In 2014, the Legislature enacted the FDBPA in response to the shoddy evidence being used in thousands of lawsuits for charged-off consumer debt. The Act regulates the conduct and practices of debt buyers, defined as “a person or entity that is regularly engaged in the business of purchasing charged-off consumer debt for collection purposes.” (Civil Code Section 1788.50 (a)(2).)

For purposes of this analysis, several aspects in the relationship between the two statutes are important to understand. First, persons subject to the FDBPA can also be subject to the Rosenthal Act. For example, an entity may regularly purchase charged-off consumer debt for collection purposes (and therefore be subject to the FDBPA), and then attempt to collect this debt on its own behalf (and therefore be subject to the Rosenthal Act). Conversely, there are persons subject to the Rosenthal Act who are not subject to the FDBPA. Chief among these are debt collectors that seek to collect debts assigned by a creditor (“engage[d] in debt collection on behalf of...others”), rather than purchasing these debts outright (“purchasing charged-off consumer debt for collection purposes”).

Second, the FDBPA imposes requirements on debt buyers that the Rosenthal Act does not impose on debt collectors.

This bill would begin to address gaps in coverage between the two statutes by including in the Rosenthal Act versions of certain FDBPA debtor protections. These include:

- Requiring debt collectors to provide, upon the debtor’s written request, basic information about the debt, such as an accounting of the balance sought and the date on which the last payment was made, as well as documentation of the debtor’s underlying contract.
- Requiring debt collectors to notify debtors of their right to request this information.

- Prohibiting further debt collection activity if a debt collector cannot provide this information within 30 days of the debtor's request.

Note that, under this bill, these requirements would not apply to all debt collectors; rather, they would apply to debt collectors to which delinquent debt, as defined, has been assigned. (The term “delinquent debt” is discussed in further detail below.)

The California Low-Income Consumer Coalition explains the bill's motivations as follows:

[The FDBPA] brought needed reform to a largely unregulated and broken system of debt buying in California. There had been widespread cases of debt buyers collecting against the wrong person, targeting of debt that had already been paid off, and efforts to collect on incorrect amounts. The FDBPA helped to address these issues by requiring debt buyers to provide proof of ownership of the debt and to disclose basic information such as how much debt is allegedly owed, any fees or interest, and the date of the last payment.

Unfortunately, legal services providers have recently reported debt collectors going out of their way to assert that debt they are collecting has been “assigned” to them rather than sold – and therefore that they are not subject to the FDBPA's restrictions on debt buyers. But there is no reason for these collectors not to be subject to the same consumer protection measures as debt buyers: “assignment” means that the original creditor technically still owns the debt, but the debt collector makes all decisions relating to collection activity. And **the abuses are the same as those targeted by the FDBPA: collectors are targeting the wrong debtors and collecting incorrect amounts, and the consumer has no way to determine the truth of the collectors' claims.** (emphasis added)

The author concurs, writing:

There have been reports from legal services of debt collectors claiming that they are not subject to the Fair Debt Buying Practices Act because the debt they are collecting on is assigned to them, not sold. Consumers are unable to take advantage of the protections given to them under the FDBPA and ensure they really do owe debt to the collector. SB 531 will bring needed transparency to the debt collection business, an industry where debt is exchanged so fast and often times through multiple hands that consumers are left confused as to whom they really owe money. My bill would require debt collectors, who have delinquent debt assigned to them, to have proof that they have the authority to collect on the debt. Consumers would have the right to request that proof, along with simple but important information [about the debt.]

What is a “delinquent debt” under this bill? This bill defines the term “delinquent debt” as “a consumer debt, other than a mortgage debt, that is past due at least 90 days and has not been charged off.” The term “charged off” refers to an accounting practice in which a creditor deems a debt unlikely to be collected. Once charged off, a debt is eligible to be written off as worthless and claimed as a tax deduction. (26 U.S.C. Section 166.) The FDBPA captures this concept with its definition of “charged-off consumer debt”: “a consumer debt that has been removed from a creditor's books as an asset and treated as a loss or expense.” (Civil Code Section 1788.50 (a)(1).)

A debt remains legally collectable after charge off, and can continue to accrue interest and fees allowable under law. However, once the creditor has written off the debt and deducted the loss,

such a debt is generally sold to a debt buyer (making it subject to the FDBPA), rather than assigned to a debt collector for collection (making it subject to the Rosenthal Act). The definition of “delinquent debt” under this bill therefore fills a gap between the two statutes, allowing them to better function together.

Absence of authority for the proposition that the Rosenthal Act applies to rental debt. The sole remaining opposition to this bill is from the Southern California Rental Housing Association (SCRHA), which writes:

[R]ental debt is consumer debt under Rosenthal. Our attorneys who represent landlords in unlawful detainer cases and with the recovery of lost rent have to comply with Rosenthal and all the other debt collection laws anytime they are seeking rent on behalf of a client (even if the matter has not yet been reduced to a judgment as in their collections department). [...] Considering the focus of the bill seems to be lenders, perhaps amending the bill to exclude rental housing is in order.

SCRHA’s opposition to this bill is puzzling. While a rental debt might be subject to the Rosenthal Act if reduced to judgment (a question that is beyond the scope of this analysis), there is no authority for the proposition that unpaid rent is covered by the Rosenthal Act while it remains a pre-judgment debt. Courts faced with the question have consistently held that rent does not fall under the Rosenthal Act’s definition of “consumer debt.” (See, e.g., *Leasure v. Willmark Communities, Inc.* (2013), No. 11-CV-00443 BEN DHB, 2013 U.S. Dist. LEXIS 35975 [“The Court is not aware of any cases holding that rent collection equates to ‘debt collection’ or that rent involves a ‘consumer credit transaction’ under the Rosenthal Act.”]; *Phillips v. Archstone Simi Valley LLC* (C.D. Cal. 2016) No. CV 15-5559-DMG (PLAx), 2016 U.S. Dist. LEXIS 186266 at *12 [“[T]he court concludes that residential rent collection is not a consumer credit transaction protected under the Rosenthal Act.”].) Consequently, it does not appear that anything in this bill would affect landlords or their assignees who seek to collect unpaid rent. As such, the Committee is not persuaded by SCHRA’s letter of opposition to incorporate the requested amendment.

Author’s amendment—delaying date of implementation. Two author’s amendments negotiated in the Assembly Banking & Finance Committee are meant to ensure that firms involved in the debt collection process have sufficient time to alter their processes in order to implement this bill’s requirements. The first amendment would delay by six months the date on which debt that is assigned or sold would become subject to the bill’s requirements:

(h) This section shall apply to all delinquent debt sold or assigned on or after ~~January~~ **July** 1, 2022.

For consistency, the second amendment would make the bill effective on that same date:

(i) The provisions of this section shall take effect on July 1, 2022.

These amendments brought both California Bankers Association and California Financial Services Association to a neutral position on the bill.

Technical amendment—using consistent terminology. As amended on June 29, 2021, Section 1788.14.5 in the bill used the operative noun phrase, “A debt collector to which a delinquent debt has been assigned *for collection*” in subdivision (a) and “A debt collector to which

delinquent debt has been assigned” in subdivision (b) and paragraphs (c)(1) and (e)(1). The following amendment will make the wording of all four phrases consistent:

- (a) A debt collector to which ~~a~~ delinquent debt has been assigned ~~for collection~~ shall provide to the debtor, upon the debtor’s written request, a statement that includes all of the following information pursuant to subdivision (c):

It would be undesirable to leave subdivision (a) as is, given that the California Supreme Court utilizes the following canon of statutory interpretation:

A court must...accord[] significance, if possible, to every word, phrase and sentence in pursuance of the legislative purpose. A construction making some words surplusage is to be avoided. [...] [S]tatutory sections relating to the same subject must be harmonized, both internally and with each other, to the extent possible. (*Dyna-Med, Inc. v. Fair Employment & Housing Com.* (1987) 43 Cal. 3d 1379, 1387.)

The Rosenthal Act is a heavily litigated statute. Without this amendment, litigants would no doubt seek to exploit the difference in wording between these portions of the statute, arguing that courts should give meaning to the difference in wording, where no such difference was intended.

ARGUMENTS IN SUPPORT: Public Law Center describes how this measure would have aided a wronged client, and will help aid others like him in the future:

In one situation, the plaintiff debt collector sued the wrong individual. The true defendant was an individual with a similar name, but the wrong person had been notified of the lawsuit. The plaintiff was not a debt buyer, and therefore was not subject to the FDBPA. Until [our organization] got involved, the plaintiff would not provide the information that the debtor needed in order to show that this debt was not his. While legal services assists as many individuals as possible, there are always individuals who cannot find assistance, and this law would ensure those debtors are also protected.

ARGUMENTS IN OPPOSITION: Southern California Rental Housing Association contends that this bill will burden collection of rental debt:

Even a mention of rent that’s due triggers [the] Rosenthal [Act]. So, consumer debt and any debt collection agency...that collects rental debt also has to comply.

As discussed above, this fear appears unwarranted, as courts have not interpreted the Rosenthal Act to cover rental debt.

Prior Related Legislation: SB 187 (Wieckowski, Chap. 545, Stats. 2019) clarified that collection activity on mortgage debt is subject to the Rosenthal Act, and removed an exception for individual attorneys from the Act.

AB 1526 (Kalra, Chap. 247, Stats. 2018) amended the Rosenthal Act to prohibit a debt collector from attempting to collect a time-barred debt without providing specific notices to the debtor indicating that the debtor may not be sued for the debt, but that the debt, depending on its age, could be reported as unpaid to credit reporting agencies, as specified.

SB 233 (Leno, Chap. 64, Stats. 2013) established the Fair Debt Buying Practices Act, which regulates the debt collection and collection litigation activity of buyers of charged-off consumer debt.

SB 237 (Robbins, Chap. 907, Stats. 1977) established what was then known as the Robbins-Rosenthal Fair Debt Collection Practices Act.

REGISTERED SUPPORT / OPPOSITION:**Support**

California Low-Income Consumer Coalition
Center for Responsible Lending
Public Law Center
Western Center on Law & Poverty

Opposition

Southern California Rental Housing Association

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